

INVESTMENT POLICY STATEMENT

Rossi Family

€5,000,000 Liquid Public-Markets Portfolio

Strategic framework for long-term real capital growth, liquidity, diversification and intergenerational wealth preservation

Client	Rossi Family (fictional case study)
Base currency	EUR
Investment horizon	10+ years; substantial intergenerational capital
IPS status	Approved strategic framework - portfolio implemented and under monitoring

Educational / demonstration document for the Virtual Wealth platform. Not a substitute for regulated investment, legal or tax advice.

1. Purpose and Mandate

This Investment Policy Statement (IPS) defines the strategic framework for managing the Rossi Family's €5,000,000 liquid public-markets portfolio. The portfolio is not managed in isolation: every decision must be assessed against the family's consolidated balance sheet, liquidity reserves, direct real estate, private-market allocations, succession objectives and tax-residency context.

The portfolio's primary mandate is to compound family wealth in real terms over a long horizon while preserving liquidity, avoiding unnecessary concentration and retaining the ability to rebalance during periods of market stress.

2. Consolidated Family Balance Sheet Context

Balance Sheet Component	Value	% of NW	Strategic Function
Separate liquidity reserve	€1,380,000	6.9%	Operating liquidity, emergency reserve and planned expenditure
Net direct real estate	€4,661,000	23.3%	Italian residential / rental property exposure
Public-markets portfolio	€5,000,000	25.0%	Liquid growth, defensive assets and rebalancing pool
Alternatives / private markets	€5,000,000	25.0%	Private equity and other diversified alternative strategies; architecture to be developed separately
Capital earmarked for wealth planning	€3,959,000	19.8%	Succession, ownership, protection and intergenerational structuring; not a separate asset class until underlying assets are defined
Total net worth	€20,000,000	100.0%	Family consolidated net worth

Key implication: the family already has material exposure to Italian real estate and illiquid private assets. The public portfolio should therefore remain highly liquid, transparent and capable of acting as the family's main rebalancing mechanism.

3. Client Objectives, Horizon and Constraints

Dimension	Policy
Primary objective	Long-term real capital growth with preservation of family wealth across generations
Secondary objectives	Diversification, liquidity, controlled income generation, succession readiness and implementation simplicity
Time horizon	10+ years; at least €3m of the public portfolio may remain invested for 20+ years / until succession
Base currency	EUR
Income requirement	Low; modest natural income from coupons/dividends is welcome but total return takes priority

Dimension	Policy
Liquidity requirement from portfolio	Low; core family liquidity is separately funded
Risk capacity	Very high
Risk tolerance	High; client indicates willingness to tolerate severe temporary drawdowns and add capital during market stress
Risk requirement	Moderate-to-high; the family does not need to maximise risk to achieve its objectives
Tax / legal context	Italian resident family; cross-border and succession planning handled as a separate specialist workstream

Risk principle: the ability to tolerate risk is higher than the need to take risk. The portfolio should therefore pursue meaningful growth without assuming unnecessary concentration, leverage or illiquidity.

4. Investment Philosophy

- Use broad, low-cost indexed exposure as the strategic equity core. Avoid redundant combinations such as World + S&P 500 + Nasdaq when they reproduce the same mega-cap holdings.
- Use systematic factor exposure only where the factor has a defensible economic rationale, robust implementation and a clear role relative to the market-cap core.
- Keep fixed income genuinely defensive: high-quality sovereigns, diversified investment-grade credit and inflation-linked exposure. Do not add high yield merely to increase headline yield.
- Use gold as a strategic diversifier, not as a return-maximisation asset.
- Limit Bitcoin to a small asymmetric satellite whose failure would not impair the family plan.
- Treat commodities such as Brent as tactical positions with separate entry, sizing and exit rules - not as permanent strategic allocations.
- Avoid strategic REIT overweight because the family already has substantial direct property exposure.

5. Strategic Asset Allocation (SAA)

Asset Class	Strategic Role	Target	Target €	Benchmark	Risk	Horizon
US Broad Equity	Primary listed-equity growth engine	30.0%	€1,500,000	MSCI USA / broad US market	High	10-20+ yrs
Developed ex-US Equity	Geographic diversification and lower US concentration	17.0%	€850,000	MSCI World ex USA	High	10-20+ yrs
Emerging Markets Equity	Long-term EM diversification and growth exposure	8.0%	€400,000	MSCI EM / EM IMI	Very high	10-20+ yrs
Factor Equity	Systematic value, momentum, small/profitability and quality tilts	10.0%	€500,000	Custom factor composite	Very high	10-20+ yrs
High-Quality Fixed Income	Stability, income, liquidity and rebalancing capacity	27.0%	€1,350,000	Custom EUR high-quality bond composite	Medium	3-10+ yrs
Gold	Strategic systemic / monetary diversifier	7.0%	€350,000	LBMA Gold Price	Medium-high	Strategic
Bitcoin	Small asymmetric high-risk satellite	1.0%	€50,000	Bitcoin reference index	Extreme	10+ yrs
TOTAL		100.0%	€5,000,000			

Neutral portfolio mix: 65% equities (55% market-cap core + 10% factors), 27% high-quality fixed income, 7% gold and 1% Bitcoin. Up to 2% of the fixed-income Opportunity Reserve may be temporarily redeployed to tactical positions, so a fully utilised tactical sleeve would reduce fixed income from 27% to 25% without increasing total portfolio size.

6. Portfolio Architecture

Layer	Sleeve	Target	Target €	Implementation Architecture
CORE	US Broad Equity	30.0%	€1,500,000	Single broad-market sleeve; no separate Nasdaq allocation
CORE	Developed ex-US	17.0%	€850,000	One diversified developed-market ex-US sleeve
CORE	Emerging Markets	8.0%	€400,000	Broad EM exposure; no separate China overweight unless explicitly justified
FACTOR	Value	3.0%	€150,000	Multi-metric valuation exposure; avoid value traps and excessive sector concentration
FACTOR	Momentum	3.0%	€150,000	Disciplined trend exposure; monitor

Layer	Sleeve	Target	Target €	Implementation Architecture
				turnover and momentum crashes
FACTOR	Small Value / Profitability	2.5%	€125,000	Prefer small companies with valuation / profitability discipline rather than pure size
FACTOR	Quality	1.5%	€75,000	Small tilt only; remove if it duplicates mega-cap growth exposure
FIXED INCOME	Nominal Sovereign Ladder	12.0%	€600,000	Primarily direct EUR sovereign bonds across staggered maturities
FIXED INCOME	Investment-Grade Corporate	8.0%	€400,000	Diversified UCITS vehicle preferred for issuer diversification
FIXED INCOME	Inflation-Linked Sovereigns	5.0%	€250,000	Euro-area inflation-linked exposure; moderate duration
FIXED INCOME	Opportunity Reserve	2.0%	€100,000	Very high-quality short-duration holding; funding source for tactical positions
DIVERSIFIER	Gold	7.0%	€350,000	Physically backed exchange-traded structure preferred for the managed portfolio
SATELLITE	Bitcoin	1.0%	€50,000	One-position crypto exposure; no other strategic crypto allocation

7. Tactical Allocation Policy

The tactical budget is not a permanent asset class. In the neutral position, the full 27% fixed-income allocation remains invested in high-quality bonds. Up to 2% of portfolio NAV may be temporarily transferred from the Opportunity Reserve to a tactical position when a specific, documented investment thesis exists.

- Maximum aggregate tactical exposure: 2% of portfolio NAV.
- Current case-study example: Brent crude position initiated in January 2026. Strategic target weight remains 0%; the position is evaluated separately from long-term commodity allocation.
- A tactical position must have a written thesis, entry rationale, maximum size, review condition, profit-taking / exit framework and maximum holding period.
- If no compelling opportunity exists, the budget remains in the Opportunity Reserve. No trade is required merely because tactical capacity exists.

8. Fixed Income Policy

- Sovereign ladder: diversified across high-quality euro-area issuers rather than concentrated only in Italian government debt. Indicative maturity range: approximately 2029-2034, with target portfolio duration around 4-6 years.

- Investment-grade corporate exposure: use diversified pooled exposure rather than a small number of individual corporate bonds. No strategic high-yield allocation.
- Currency: defensive assets should be predominantly EUR-denominated or hedged to EUR; foreign-exchange risk should primarily sit in growth assets.
- Inflation-linked bonds: maintain a dedicated allocation because family liabilities are real and inflation-sensitive.

9. Equity and Factor Policy

- Equity core: market-cap weighted, broad, transparent and low-turnover. The portfolio will not add overlapping regional or sector ETFs without a clearly distinct role.
- Equity currency exposure: generally unhedged given the long horizon and global diversification objective.
- Factor implementation: evaluate factor purity, benchmark methodology, turnover, sector/geographic concentration, top holdings, overlap with the core, TER and realised tracking difference before selection.
- Factor underperformance: the family accepts that individual factors can lag broad markets for 5-10 years. A factor is not removed solely because it has recently underperformed.

10. Strategic Exclusions / Zero-Weight Decisions

Exposure	Strategic Weight	Rationale
Strategic cash inside €5m	0%	Emergency and operating liquidity already managed separately in the €1.38m liquidity pool.
Listed real estate / REIT overweight	0%	Family already has approximately €4.66m net direct real-estate equity.
Broad commodities	0% strategic	Gold has a dedicated role; Brent and other commodities are tactical only.
High-yield bonds	0%	Private credit and private equity already provide substantial credit / illiquidity risk outside the public portfolio.
Private equity / private credit	0% inside public portfolio	Managed within the separate €5m alternatives allocation.
Nasdaq / sector growth sleeve	0% strategic	Would create avoidable overlap with the broad US core and increase mega-cap concentration.

11. Rebalancing Policy

Allocation	Target	Indicative Rebalancing Band
Total Equity	65%	60-70%
US Broad Equity	30%	27-33%
Developed ex-US	17%	14-20%
Emerging Markets	8%	6-10%
Factor Equity	10%	8-12%
Fixed Income	27% neutral	23-31%*
Gold	7%	5-9%
Bitcoin	1%	0.5-1.5%
Tactical	0-2%	Hard cap 2%

*Fixed-income weight may decline to approximately 25% when the full 2% tactical budget is deployed.

Rebalancing is monitored quarterly but trades are triggered by material band breaches, changes in client circumstances or deliberate risk-management decisions rather than by calendar alone.

Rebalancing priority: use coupons, dividends, maturities, alternative distributions and new cash flows first. Asset sales are a secondary tool, particularly where tax or transaction costs would be material.

12. Implementation Standards

- Prefer UCITS funds / ETFs for diversified market exposures where appropriate; direct sovereign bonds may be used when known maturity and contractual cash flows provide a genuine advantage.
- Select instruments using benchmark fit, fund size, liquidity, TER, realised tracking difference, domicile, replication method, securities-lending policy, currency, distribution policy and tax treatment.

- Accumulating share classes are preferred where consistent with the family's tax and cash-flow objectives; distributing share classes may be used selectively where natural income is useful.
- Do not choose an economically inferior investment merely for tax reasons. Tax-aware implementation follows investment merit, not the reverse.
- Tax-loss utilisation and Italian loss-offset rules must be reviewed instrument by instrument before implementation.
- No leverage, derivatives-based speculation or complex structured products without a separate written mandate.

13. Liquidity and Mortgage Context

The €5m public portfolio is not responsible for emergency liquidity. The family maintains approximately €1.38m of liquidity across Tier 1 operational accounts, Tier 2 money-market exposure and Tier 3 short-duration instruments. Tier 1 includes approximately €460,000 across three immediate-access accounts, including a GBP account for UK-related family spending.

The Sardinia property mortgage has an outstanding balance of approximately €389,000 at a fixed 1.50% rate, originated in 2021. The family preference is to eliminate the debt in the coming years. The IPS therefore allows a planned redemption programme funded from excess cash, maturities, portfolio income or alternative distributions rather than an immediate large withdrawal from the liquidity reserve.

14. Monitoring, Governance and Review

- Portfolio monitoring: ongoing.
- Formal reporting: quarterly.
- Strategic IPS review: at least annually.
- Immediate review triggers: material change in family liquidity needs, tax residence, ownership structures, family circumstances, major property transactions, significant alternative-investment commitments, substantial change in net worth or succession objectives.
- The family's Italian new-resident tax-planning window and succession structure should be reviewed separately with qualified tax/legal advisers; this IPS governs investment policy, not legal ownership design.

15. Policy Benchmark and Definition of Success

Performance should not be judged against the S&P 500 alone. The appropriate reference is a weighted Rossi Family Policy Benchmark reflecting the strategic allocation: 30% US broad equity, 17% developed ex-US, 8% emerging markets, 10% factor composite, 27% fixed-income composite, 7% gold and 1% Bitcoin. Tactical positions are assessed against their own documented hurdle and risk budget.

Success is defined as disciplined long-term compounding, preservation of family optionality, adherence to risk limits and achievement of market-linked returns consistent with this policy - not by outperforming every market in every calendar year.

16. Status and Monitoring Phase

This IPS records the implemented strategic asset allocation and portfolio architecture as Version 1.1. The portfolio is monitored against its policy benchmark, rebalancing bands, liquidity requirements and documented risk limits. Instrument changes require a clear role, due-diligence review and consistency with the family mandate.

IPS Version	1.1	Effective Date	28 September 2026
Client	Study	Next Review	Annual or material change